The Vita Coco Company Inc

COCO US Equity · Company Research · As of 26 Aug 2026

In Brief

- Revenue has compounded at +13% a year over 3 reported years, without a single down year.
- At 27.2 times forward earnings against a peer median of 18.3, the shares are 49% dearer than the group.
- The advantage rests on Branding, an overall narrow moat.

Key Statistics

Shares Outstanding	**57.9M**
Cash Less Long-Term Liabilities	**$184M**
Long-Term Liabilities / Operating Income	**0.2x**

Financial Summary

Revenue has compounded at +13% a year over 3 reported years, without a single down year.

	FY22	FY23	FY24	FY25	Next FY (cons.)
Revenue growth		+15.4%	+4.5%	+18.2%	+57.8%
Revenue (m)	428	494	516	610	962
Gross profit (m)	103	181	199	223	
Operating income (m)	3	56	74	83	
Net income (m)	8	47	56	71	
Free cash flow (m)	-12	107	42	39	
Gross margin	24.2%	36.6%	38.5%	36.5%	
Operating margin	0.7%	11.4%	14.3%	13.5%	
Free cash flow margin	-2.8%	21.6%	8.1%	6.4%	
Return on capital employed	7.7%	27.8%	28.5%	23.9%	

The latest year grew +18%, ahead of the +13% multi-year rate, so growth is accelerating rather than fading.

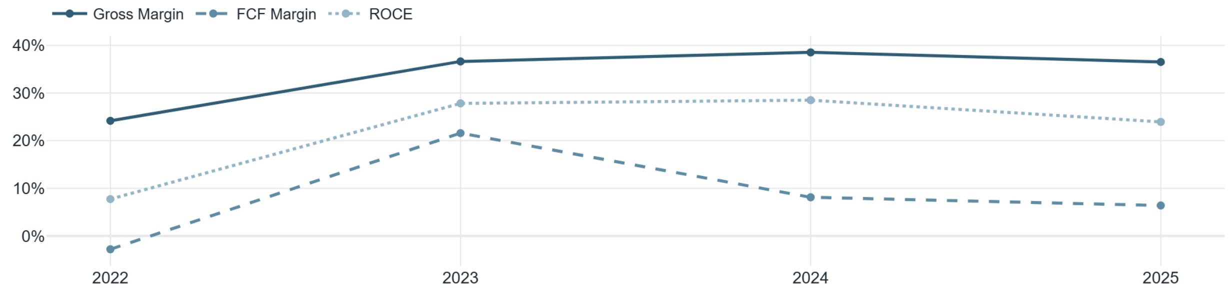

Figure 1: Margins and Return on Capital

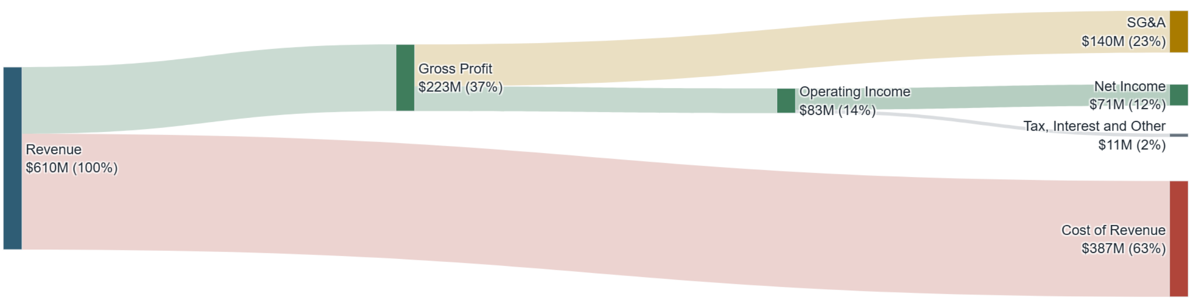

Figure 2: Revenue to Net Income, Latest Year

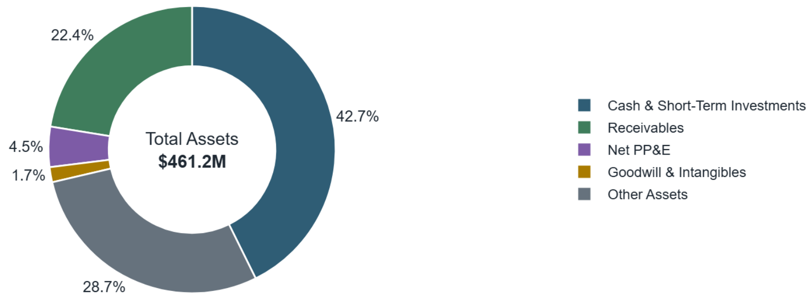

Figure 3: Composition of Total Assets

Relative Valuation

At 27.2 times forward earnings against a peer median of 18.3, the shares are 49% dearer than the group.

Price / Earnings, The Vita Coco Company Inc (forward, consensus)	**27.2x (+49% vs peers)**
EV / EBITDA, The Vita Coco Company Inc (forward, consensus)	**24.8x (+84% vs peers)**
Peer Median Price / Earnings	**18.3x**
Peer Median EV / EBITDA	**13.4x**
Peer Range, Price / Earnings	**6.4x to 37.2x**

Peer	Price / Earnings	EV / EBITDA
Celsius Holdings	20.3x	15.7x
Monster Beverage	37.2x	31.4x
National Beverage	16.2x	11.2x
Simply Good Foods	6.4x	5.9x

Competitive Position

The advantage rests on Branding, an overall narrow moat.

Overall moat assessment: narrow. Scored from the filings.

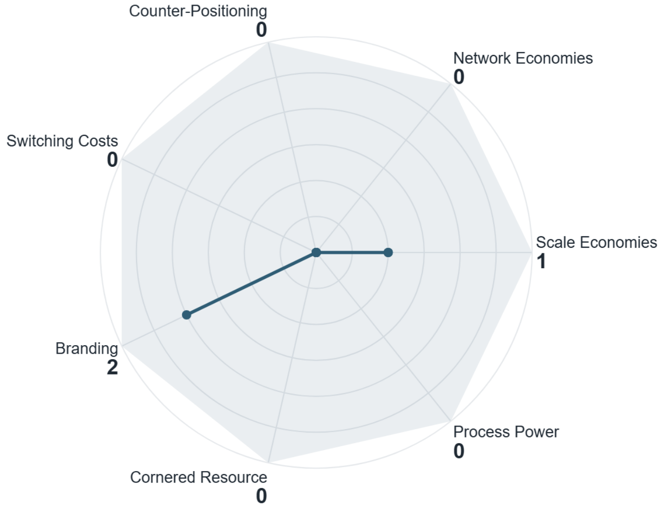

Figure 4: Competitive Advantage, Scored Zero to Three

- **Scale Economies** (1 of 3): Largest buyer in a niche category gives sourcing and shelf leverage, but the FY2025 gross margin fall to 36.5% on tariffs shows the limit.
- **Branding** (2 of 3): Leading US coconut water brand; retail dollars growing in line with a 29% category rather than lagging it - a real willingness-to-pay premium, and the only power scoring above 1.
- Not evidenced: Network Economies, Counter-Positioning, Switching Costs, Cornered Resource and Process Power.

Qualitative Assessment

Vita Coco is the leading coconut water brand in the United States. This assessment reads the FY2025 annual report, the Q2 FY2026 quarterly report and the Q2 results release, with prices re-derived on 25 August 2026 and insider transactions taken from primary regulatory Filings. The company reports on a December year-end.

Valuation, Live

As at 25 August 2026.

Price	US$64.44
52-week range	US$33.19 - 85.83
Shares outstanding	57.86m
Market capitalisation	US$3.73bn
Net cash	US$278.6m
Enterprise value	US$3.45bn
Trailing P/E	35.6x
Forward P/E	27.5x
EV/earnings, annualised H1 as reported	21.6x
EV/earnings, annualised H1 ex-refund	25.4x
EV/earnings, seasonally adjusted and ex-refund	~30x

H1 is seasonally heavy (H1 2025 was 59% of FY2025 net income), so annualising H1 overstates the year. Adjusting for that and stripping the refund puts this near 30x - full, for a business whose returns on capital were 2% four years ago.

Short interest is 11.5% of float (5.34m shares, 4.2 days to cover). Institutions hold 95%; insiders 8.6%.

The Business

Vita Coco is the leading coconut water brand in the United States, sold alongside a deliberately shrinking private-label operation, a coconut milk line and PWR LIFT. Products are sourced primarily from the Philippines and Brazil and manufactured by third parties - property and equipment is only US$8.9m on annualised sales approaching US$800m. This is a brand and a supply chain, not a factory.

US$m	FY2023	FY2024	FY2025	H1 2026
Net sales	493.6	516.0	609.8	395.9
Growth		+4.5%	+18.2%	+32.1%
Operating income	56.5	73.8	82.5	96.7
Net income			71.3	79.9

Growth is accelerating: 4.5% -> 18.2% -> low 30s. FY2026 guidance was raised to US$790-805m with adjusted EBITDA US$154-161m.

Mix

FY2025 Americas: Vita Coco Coconut Water +23.6% to 424.3, Private Label -30.2% to 62.7, Other +137.3%. International: branded +43.0%, private label +34.3%.

The company is growing the branded business at 24% while walking away from low-margin private label at -30%. That mix shift is margin-accretive by construction and it is a deliberate strategic choice, not a cyclical accident.

The category is doing the heavy lifting, and that is a good thing

Year-to-date retail dollar growth for coconut water: +29% in the US, +65% in measured European markets. Vita Coco branded retail dollars +29% US, +57% Europe. So the brand is holding share in a category compounding at nearly 30%. This holds independently of the one-off examined in the next section.

Why The Reported Quarter Overstates The Run Rate

Reported Q2 2026 looks like a step change: net sales +28.1%, gross margin 48.7% against 36.3% a year earlier, operating income +151%, net income +116%. Read alone that is a business transformed.

The 10-Q names the first driver of the gross-profit increase as "the recognition of the tariff refunds", and the company calls it "a one-time benefit to our results during the quarter." In February 2026 the US Supreme Court ruled IEEPA tariffs unlawful; Vita Coco filed claims and received US$15.6m, booked as a reduction of cost of goods sold.

Q2 2026	Reported	Ex-refund
Net sales	+28.1%	+28.1%
Gross margin	48.7%	41.5%
Operating income	+151%	+89%
Net income	+116%	+64%

Net sales are unaffected because the refund is a cost-of-goods item. The margin expansion is 520 basis points ex-refund rather than the 1,242 reported.

The refund is 15% of reported Q2 gross profit and 24% of net income.

And it is ~80% of the earnings beat. EPS came in at US$0.82 against a US$0.56 Consensus - a 46.4% beat, which is the leg that put this name through the screen. The refund is worth about US$0.21 per share after tax of that US$0.26 beat.

Management's own full-year gross margin guide is ~40%, raised from 38%. Against a Q2 print of 48.7%, that is management telling you margins normalise from here.

The guidance raise is mostly acquired, not organic. FY guidance went from US$720-735m to US$790-805m, a raise of roughly US$70m - which is approximately the half-year contribution of Copra, the super-premium cold coconut water business acquired in July 2026 (stated to add more than US$100m of calendar-2026 sales). Organic guidance is therefore roughly unchanged at +18-21%.

None of this makes the business bad. It means the headline overstates the run rate, and the signal that surfaced the name was substantially a legal windfall.

Quality And The Moat

Return on invested capital	2020	2021	2022	2023	2024	2025
%	32	15	2	25	24	20

2022 is the whole risk in one number. Ocean freight and input costs collapsed returns on capital from 32% to 2% in two years. A business with a genuinely protective moat does not do that. Vita Coco has real brand equity - it is the category leader and it holds share in a category growing 29% - but the brand does not insulate the P&L from a container-rate shock, and it has already failed that test once inside five years.

Powers walked:

- Branding - real and the primary power. Category leader in US coconut water; retail dollars growing in line with the category rather than lagging it.
- Scale economies - partial. Largest buyer in a niche category gives sourcing leverage and shelf access; the FY2025 gross margin fall to 36.5% shows the limits.

- Absent: network economies, switching costs (this is a grocery impulse purchase), cornered resource, counter-positioning, process power.

Archetype: branded consumer growth, riding a real category tailwind. Not a fortress compounder - the ROIC series forbids that description - and not a cyclical either. Closest to a quality-growth name whose economics are levered to freight and coconut prices.

Concentration

Share of net sales	H1 2026	H1 2025
Customer A	22%	20%
Customer B	22%	25%

Two customers are 44% of net sales. Three suppliers are 43% of purchases. For a grocery brand this is normal and it is still a genuine tail risk: a shelf-space decision at one retailer moves a fifth of revenue.

Balance Sheet

US$m	30 Jun 2026	31 Dec 2025
Cash	278.6	196.9
Inventory	82.9	111.5
Receivables	132.3	81.5
Goodwill	7.8	7.8
Property and equipment	8.9	9.3

Return on equity is 31.4%. Inventory is falling while sales rise, which is destocking rather than building.